

Standard Operating Procedure

Residential Mortgage Loan Origination

From Application Through Post-Closing Quality Control

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Document Control

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Approvals

By signing, approvers confirm this procedure is accurate, complete, and consistent with Bank policy and applicable law.

Role	Name	Signature	Date
Director, Mortgage Operations			
Chief Credit Officer			
Chief Compliance Officer			
BSA/AML Officer			

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1. Purpose

This Standard Operating Procedure (SOP) establishes the required steps, controls, and responsibilities for originating closed-end residential mortgage loans at First National Bank (the “Bank”). It ensures that every loan is originated consistently, underwritten to a documented ability-to-repay standard, disclosed accurately and on time, and recorded in a manner that withstands regulatory examination, investor review, and internal audit.

The procedure is designed to:

- Protect consumers through timely, accurate disclosures and fair, consistent treatment of every applicant.
- Comply with federal consumer-protection, fair-lending, privacy, flood, and anti-money-laundering requirements.
- Produce saleable, investor-eligible loans with complete and auditable file documentation.
- Define clear hand-offs, service-level targets, and escalation paths across the origination lifecycle.

2. Scope

2.1 In Scope

- Closed-end, first- and subordinate-lien consumer loans secured by a 1–4 unit dwelling, including purchase, rate/term refinance, and cash-out refinance transactions.
- Conventional conforming loans (Fannie Mae / Freddie Mac), jumbo portfolio loans, and government-insured loans (FHA, VA, USDA), subject to the program-specific overlays in the Bank's Product Guide.
- All origination channels: branch, call center, and digital (online) application.

2.2 Out of Scope

- Home equity lines of credit (HELOCs) and other open-end credit — see FNB-SOP-CL-020.
- Reverse mortgages, timeshares, and loans primarily for business, commercial, or agricultural purposes.
- Construction-only loans and commercial real estate — see Commercial Lending procedures.
- Loan servicing after boarding — see FNB-SOP-RML-002.

NOTE: Where a government program (FHA, VA, USDA) or investor guide imposes a stricter requirement than this SOP, the stricter requirement governs. Program overlays are maintained in the Product Guide, not in this document.

3. Regulatory and Policy References

The following laws, regulations, and guidance are the primary authorities for this procedure. Section references are to the Code of Federal Regulations (CFR).

Authority	Citation	Primary Origination Impact
Truth in Lending Act / Regulation Z	12 CFR 1026	TRID disclosures (Loan Estimate, Closing Disclosure), APR accuracy, ATR/QM, HPML, HOEPA, LO compensation, appraisal independence, right of rescission
Real Estate Settlement Procedures Act / Regulation X	12 CFR 1024	Homeownership counseling list, servicing transfer disclosure, escrow, affiliated business arrangements, anti-kickback (Section 8)
Equal Credit Opportunity Act / Regulation B	12 CFR 1002	Non-discrimination, prohibited inquiries, appraisal copy rule, adverse action notices
Home Mortgage Disclosure Act / Regulation C	12 CFR 1003	Demographic data collection, Loan/Application Register (LAR)
Fair Housing Act	42 U.S.C. 3601 et seq.	Prohibits discrimination in residential real estate transactions
Fair Credit Reporting Act / Regulation V	12 CFR 1022	Permissible purpose, credit score disclosure, risk-based pricing, adverse action content
S.A.F.E. Mortgage Licensing Act / Regulation G	12 CFR 1007 (federal registration)	MLO registration and NMLS unique identifier
Flood Disaster Protection Act	12 CFR 339 / 22 / 208 (by charter)	Flood zone determination, notice to borrower, mandatory flood insurance
Bank Secrecy Act / USA PATRIOT Act	31 CFR 1020	Customer Identification Program (CIP), beneficial ownership (if applicable), suspicious activity
Gramm-Leach-Bliley Act / Regulation P	12 CFR 1016	Privacy notice and information safeguarding
ESIGN Act	15 U.S.C. 7001 et seq.	Consumer consent before electronic delivery of required disclosures
Interagency Appraisal and Evaluation Guidelines	Interagency guidance (2010, as amended)	Valuation independence, appraisal review, evaluations
Unfair, Deceptive, or Abusive Acts or Practices	12 U.S.C. 5531, 5536; FTC Act §5	Marketing, communications, and fee practices

CAUTION: Regulatory thresholds (QM points-and-fees limits, HOEPA triggers, HMDA exemption, conforming loan limits) adjust annually. Appendix E lists the values in effect for calendar year 2026. Compliance must confirm the values each January before this SOP is re-issued.

4. Definitions and Acronyms

Term	Definition
Application (TRID)	Submission of the six data elements: (1) consumer name, (2) income, (3) Social Security number to obtain a credit report, (4) property address, (5) estimate of property value, and (6) mortgage loan amount sought. 12 CFR 1026.2(a)(3)(ii).
APOR	Average Prime Offer Rate, published weekly by the CFPB; used to test QM, HPML, and HOEPA pricing thresholds.
ATR	Ability to Repay — the requirement to make a reasonable, good-faith determination, based on verified information, that the consumer can repay the loan. 12 CFR 1026.43.
AUS	Automated Underwriting System (e.g., GSE or agency automated findings engines).
Business day (general)	A day on which the Bank's offices are open to the public for carrying on substantially all business functions. Used for Loan Estimate delivery.
Business day (specific)	All calendar days except Sundays and federal legal public holidays. Used for CD receipt, the seven-day waiting period, the mailbox rule, and rescission.
CD	Closing Disclosure. 12 CFR 1026.19(f).
Changed circumstance	An event that permits a revised Loan Estimate for good-faith purposes, as defined in 12 CFR 1026.19(e)(3)(iv).
Consummation	The time the consumer becomes contractually obligated on the credit transaction (typically note signing).
CTC	Clear to Close — all prior-to-closing conditions satisfied and approved by Underwriting.
HPML	Higher-Priced Mortgage Loan — APR exceeds APOR by ≥ 1.5 percentage points (first-lien, conforming), ≥ 2.5 points (first-lien jumbo), or ≥ 3.5 points (subordinate lien). 12 CFR 1026.35.
LAR	HMDA Loan/Application Register.
LE	Loan Estimate. 12 CFR 1026.19(e).
LOS	Loan Origination System — the Bank's system of record for mortgage applications.
MLO	Mortgage Loan Originator, registered with the Nationwide Multistate Licensing System & Registry (NMLS).
QM	Qualified Mortgage, as defined in 12 CFR 1026.43(e) or (f).
SFHDF	Standard Flood Hazard Determination Form (FEMA Form 086-0-32).
TRID	TILA-RESPA Integrated Disclosure rule.

5. Roles and Responsibilities

5.1 Role Descriptions

Role	Responsibilities
Mortgage Loan Officer (MLO)	Consumer consultation, application intake, product selection, rate lock, initial disclosure request, and borrower communication. Must be NMLS-registered before taking any application.
Loan Processor	Disclosure preparation and delivery, document collection and verification, third-party orders (credit, VOE, title, flood, appraisal via Collateral Desk), and file submission to Underwriting.
Collateral Desk / AMC Liaison	Appraiser engagement and rotation, appraisal independence controls, valuation review routing, and appraisal delivery to the applicant.
Underwriter	Credit decision, ATR/QM determination, condition issuance and clearance, exception referral, and CTC authorization within delegated authority.
Closer / Closing Coordinator	CD preparation and delivery, tolerance cure calculation, closing package, settlement agent coordination, and funding authorization.
Post-Closing / QC Analyst	Trailing documents, investor delivery, HMDA data validation, and pre- and post-funding quality control reviews.
Mortgage Operations Manager	Pipeline oversight, SLA monitoring, workload balancing, and first-level escalation.
Compliance Officer	Regulatory interpretation, disclosure and tolerance exception approval, fair-lending monitoring, and HMDA submission.
BSA/AML Officer	CIP exception resolution, OFAC/sanctions escalation, and suspicious activity review.

5.2 RACI Matrix

R = Responsible A = Accountable C = Consulted I = Informed

Activity	MLO	Proc.	UW	Closer	QC	Comp.
Pre-application consultation	R/A	—	—	—	—	C
Application intake & HMDA demographics	R/A	I	—	—	—	C
Initial disclosures (LE package)	C	R/A	—	—	—	C
Document collection & verification	C	R/A	C	—	—	—
Appraisal order & review routing	I	R	A	—	—	—
Credit decision & ATR/QM	I	C	R/A	—	—	C
Changed circumstance / revised LE	C	R/A	C	—	—	C

Activity	MLO	Proc.	UW	Closer	QC	Comp.
Adverse action notice	I	R	A	—	—	C
Closing Disclosure & closing	I	C	C	R/A	—	C
HMDA data validation	C	C	—	—	R	A
Post-funding QC review	—	—	I	I	R/A	C

6. Process Overview

Figure 6-1 summarizes the origination lifecycle. Each numbered stage corresponds to a procedure in Section 7. Decision points and exception paths are shown in amber and red.

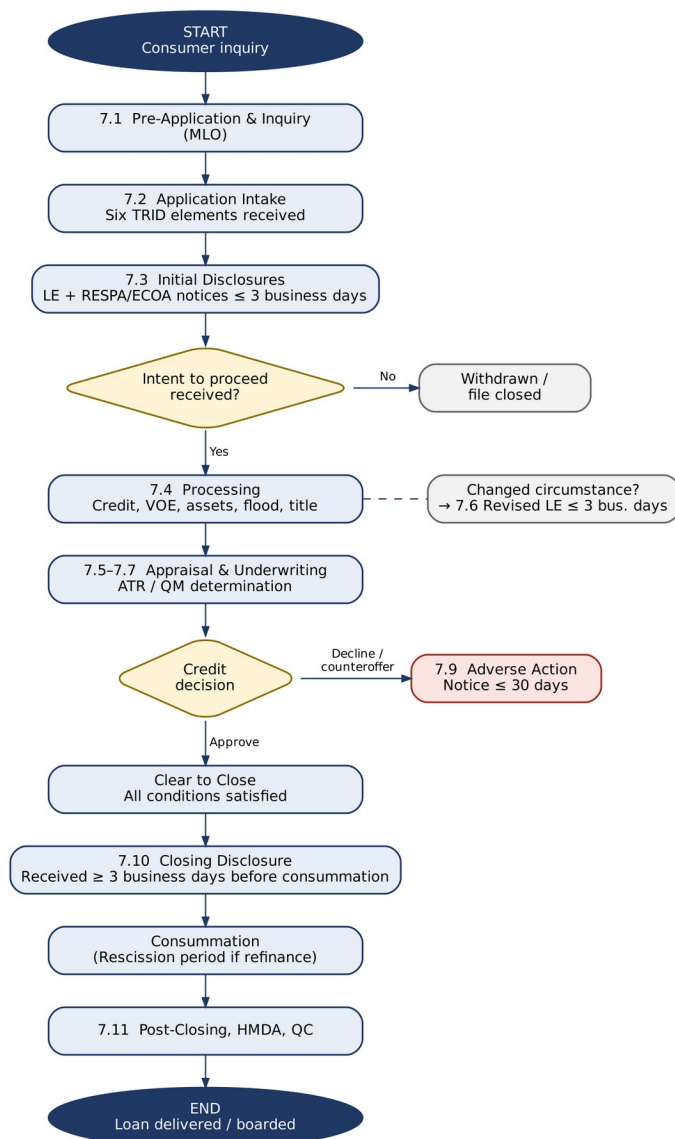


Figure 6-1. Residential mortgage origination process flow

6.1 Stage Service-Level Targets

Service-level targets are internal performance goals. Regulatory deadlines (marked ●) are mandatory and may not be extended.

Stage	Trigger	Target / Deadline	Owner
Initial disclosures	Receipt of six TRID elements	● No later than 3rd general business day; target same day	Processor

Stage	Trigger	Target / Deadline	Owner
Appraisal order	Intent to proceed + appraisal fee authorization	1 business day	Collateral Desk
Initial underwriting	Complete submission	2 business days	Underwriter
Condition review	Condition documents received	1 business day	Underwriter
Revised LE	Changed circumstance known	● Within 3 general business days	Processor
Adverse action	Completed application declined	● Within 30 calendar days	Processor / UW
Closing Disclosure	Clear to Close	● Received ≥ 3 specific business days before consummation; target 5	Closer
HMDA LAR entry	Final action taken	● Within 30 calendar days after end of the calendar quarter	QC

7. Procedures

Procedures are presented in lifecycle order. Each step identifies the responsible role and the record that evidences completion. All records are maintained in the LOS unless otherwise stated.

7.1 Pre-Application and Inquiry

Objective: Respond to consumer inquiries consistently and without creating an application before the consumer intends one.

Step	Action	Owner	Output / Record
7.1.1	Greet the consumer, confirm the purpose of the inquiry (purchase, refinance, cash-out), and provide the Bank's GLBA privacy notice if a customer relationship will be established.	MLO	Contact log
7.1.2	Discuss loan programs using only the Bank's approved product matrix. Present options to every consumer on the same basis; do not steer toward a product based on MLO compensation.	MLO	Product comparison (if provided)
7.1.3	If the consumer requests a written estimate before applying, provide only the approved pre-application worksheet bearing the required disclaimer that it is not a Loan Estimate.	MLO	Worksheet copy
7.1.4	Record the inquiry in the LOS as a prospect. Do not collect a Social Security number unless the consumer is ready to apply.	MLO	LOS prospect record

WARNING: Fair lending: Treat all inquiries identically regardless of race, color, religion, national origin, sex (including sexual orientation and gender identity), marital status, age, familial status, disability, receipt of public assistance, or exercise of consumer-protection rights. Never discourage an inquiry. Prescreening that discourages a prospective applicant can violate Regulation B (12 CFR 1002.4(b)).

CAUTION: Do not impose any fee, other than a bona fide and reasonable fee to obtain a credit report, before the consumer has received the Loan Estimate and indicated an intent to proceed. 12 CFR 1026.19(e)(2)(i).

7.2 Application Intake

Objective: Capture a complete Uniform Residential Loan Application (URLA / Form 1003) and establish the TRID application date.

Step	Action	Owner	Output / Record
7.2.1	Confirm your NMLS registration is active. Your NMLS unique identifier must appear on the application, note, and security instrument (12 CFR 1026.36(g)).	MLO	NMLS ID on 1003
7.2.2	Complete the URLA with the applicant(s) in person, by phone, or via the digital channel. Collect all information required for the requested program.	MLO	Signed/acknowledged 1003

Step	Action	Owner	Output / Record
7.2.3	Record the application date in the LOS on the date the sixth TRID element is received. This date starts the Loan Estimate and other 3-business-day clocks.	MLO	LOS application date
7.2.4	Collect HMDA demographic information (ethnicity, race, sex) using the URLA Demographic Information Addendum. Inform the applicant that providing the information is voluntary.	MLO	Demographic addendum
7.2.5	For in-person applications where the applicant declines to provide ethnicity, race, or sex, note the information on the basis of visual observation or surname, as required by Regulation C.	MLO	Addendum — collection method
7.2.6	Verify identity per the Customer Identification Program: obtain name, date of birth, address, and identification number; verify with an unexpired government-issued photo ID or approved non-documentary method. Screen against OFAC lists.	MLO	CIP record; OFAC result
7.2.7	Obtain the applicant's authorization to pull credit and order the tri-merge (or investor-permitted) credit report.	MLO	Credit authorization
7.2.8	Obtain ESIGN consent before delivering any disclosure electronically. If consent is not obtained, route disclosures for paper delivery.	MLO	ESIGN consent record
7.2.9	Submit the file to Processing in the LOS. Status: Application - Disclosures Pending .	MLO	LOS status change

NOTE: Once the six elements are received, an application exists for TRID purposes even if the Bank needs additional documents. The Bank may not require supporting documents (e.g., pay stubs) before issuing the Loan Estimate. 12 CFR 1026.19(e)(2)(iii).

WARNING: Prohibited inquiries: Request information about a spouse or former spouse only as permitted by 12 CFR 1002.5(c). Limit marital-status inquiries to "married," "unmarried," or "separated." Never ask about birth control or childbearing intentions. Disclose that alimony, child support, or separate maintenance income need not be revealed unless the applicant wants it considered. 12 CFR 1002.5.

7.3 Initial Disclosures

Objective: Deliver the Loan Estimate and companion disclosures within regulatory timelines.

Step	Action	Owner	Output / Record
7.3.1	Validate fees, rate, and loan terms in the LOS against the rate sheet and fee schedule. Confirm the settlement-service-provider list for services the consumer may shop for.	Processor	Fee worksheet
7.3.2	Generate and deliver (or place in the mail) the Loan Estimate no later than the third general business day after the application date.	Processor	LE; delivery log

Step	Action	Owner	Output / Record
7.3.3	Deliver the companion package within 3 business days of application: (a) Your Home Loan Toolkit (purchase transactions); (b) list of homeownership counseling organizations; (c) servicing transfer disclosure; (d) ECOA notice of right to receive a copy of appraisals; (e) Written List of Providers; (f) affiliated business arrangement disclosure, if applicable; (g) privacy notice.	Processor	Disclosure tracking
7.3.4	Deliver any program-specific disclosures required by the Product Guide (e.g., ARM program disclosure and CHARM booklet at application for adjustable-rate loans).	Processor	Disclosure tracking
7.3.5	Record the method of delivery and the date the consumer is considered to have received the LE (actual receipt or mailbox rule: third specific business day after mailing/sending).	Processor	LOS receipt date
7.3.6	Obtain and document the consumer's intent to proceed (oral, written, or electronic). Only after intent is documented may the Bank collect appraisal or other fees.	MLO / Processor	Intent-to-proceed record

Disclosure	Deadline	Authority
Loan Estimate	Delivered/mailed $\leq$ 3 general business days after application; $\geq$ 7 specific business days before consummation	1026.19(e)(1)
Your Home Loan Toolkit	$\leq$ 3 business days after application (purchase only)	1026.19(g)
Homeownership counseling list	$\leq$ 3 business days after application	1024.20
Servicing transfer disclosure	$\leq$ 3 business days after application	1024.33(a)
Appraisal copy notice (ECOA)	$\leq$ 3 business days after application	1002.14(a)(2)
ARM disclosure + CHARM booklet	At application or before a non-refundable fee is paid	1026.19(b)

7.4 Processing

Objective: Assemble a complete, verified file for underwriting.

Step	Action	Owner	Output / Record
7.4.1	Review the credit report for completeness, fraud alerts, and inconsistencies with the 1003 (addresses, names, undisclosed debts). Request explanations for derogatory items and recent inquiries as required.	Processor	Credit review notes
7.4.2	Run the AUS using the credit score model and report type permitted by the applicable investor (see Appendix F).	Processor	AUS findings

Step	Action	Owner	Output / Record
7.4.3	Verify income and employment using third-party records or documentation (paystubs, W-2s, tax returns, tax transcripts, or approved digital verification). Complete a verbal VOE within the investor-required window before closing.	Processor	VOE; income docs
7.4.4	Verify assets for down payment, closing costs, and reserves. Source and document large deposits per investor guidelines.	Processor	Asset statements
7.4.5	Order the flood zone determination (SFHDF) for the subject property. If the property is in a Special Flood Hazard Area, initiate Section 7.8.	Processor	SFHDF
7.4.6	Order title commitment, verify vesting, and identify liens to be paid off. Order payoff statements for refinances.	Processor	Title commitment
7.4.7	Request the appraisal through the Collateral Desk (Section 7.7). Processors may not select, contact, or communicate value expectations to an appraiser.	Processor	Appraisal order
7.4.8	Complete the pre-underwriting checklist (Appendix C) and submit to Underwriting. Status: Submitted to UW .	Processor	Checklist; LOS status

7.5 Underwriting and Ability-to-Repay Determination

Objective: Make and document a credit decision that satisfies the ATR rule, the Bank's credit policy, and investor requirements.

7.5.1 ATR Factors

The Underwriter must consider and verify, using reasonably reliable third-party records, each of the following eight factors (12 CFR 1026.43(c)(2)):

#	ATR Factor	Typical Verification
1	Current or reasonably expected income or assets (excluding the collateral)	Paystubs, W-2s, tax returns/transcripts, asset statements
2	Current employment status (if relied on)	VOE, verbal VOE
3	Monthly payment on the covered transaction	Calculated per 1026.43(c)(5)
4	Monthly payment on any simultaneous loan	Second-lien terms
5	Monthly payment for mortgage-related obligations	Taxes, insurance, HOA, MI
6	Current debt obligations, alimony, and child support	Credit report, divorce decree
7	Monthly debt-to-income ratio or residual income	Underwriting worksheet
8	Credit history	Credit report

7.5.2 Underwriting Steps

Step	Action	Owner	Output / Record
7.5.1	Review the full file, AUS findings, and appraisal (when received). Confirm data integrity between the 1003, AUS, and source documents.	Underwriter	UW worksheet
7.5.2	Calculate qualifying income, DTI, LTV/CLTV, and reserves. Document the method and any non-standard income treatment.	Underwriter	1008 / transmittal summary
7.5.3	Determine QM status: General QM, Seasoned QM, Small Creditor QM, agency (FHA/VA/USDA) QM, or Non-QM. Run the points-and-fees and APR-vs-APOR tests (Appendix E).	Underwriter	QM test result
7.5.4	Determine HPML and HOEPA status. If HPML, confirm escrow and HPML appraisal requirements. The Bank does not originate HOEPA high-cost mortgages.	Underwriter	HPML/HOEPA test
7.5.5	Issue the decision: Approved with conditions , Suspended (pending specific information), Counteroffer , or Declined . Record the decision date and reasons.	Underwriter	Decision record
7.5.6	List prior-to-document, prior-to-funding, and post-closing conditions with clear, specific requests.	Underwriter	Conditions list
7.5.7	Refer any policy exception to the authority level defined in the Credit Policy. Document compensating factors.	Underwriter	Exception approval
7.5.8	Upon satisfying all prior-to-document conditions, issue Clear to Close .	Underwriter	CTC record

WARNING: The Bank does not originate high-cost mortgages under HOEPA (12 CFR 1026.32). Any loan that fails the HOEPA test must be restructured or declined before disclosure of final terms.

7.6 Changed Circumstances and Revised Loan Estimates

Objective: Reset good-faith baselines only when permitted, and within the required timeframe.

Step	Action	Owner	Output / Record
7.6.1	Identify the triggering event: changed circumstance affecting settlement charges or eligibility, consumer-requested revision, interest-rate lock, expiration (consumer did not express intent within 10 business days), delayed settlement on new construction, or information known to be inaccurate.	Processor	CoC log entry
7.6.2	Document the reason, the date the Bank learned of it, and the specific charges affected. Only charges affected by the event may be increased.	Processor	CoC form
7.6.3	Issue the revised LE within 3 general business days of receiving information sufficient to establish the reason.	Processor	Revised LE

Step	Action	Owner	Output / Record
7.6.4	Confirm the revised LE will be received no later than 4 specific business days before consummation. A revised LE may not be provided on or after the date the CD is provided.	Processor	Timing check
7.6.5	If the event occurs after the CD has been provided, document the changed circumstance and reflect it on a corrected CD (Section 7.10).	Closer	Corrected CD

7.6.1 Good-Faith Tolerance Categories

Tolerance	Charges Included	Cure
Zero	Fees paid to the Bank, a mortgage broker, or an affiliate of either; fees for third-party services the consumer was not permitted to shop for; transfer taxes	Refund any increase
10% aggregate	Recording fees; third-party services the consumer could shop for and selected from the Written List of Providers	Refund amount exceeding 10% of the aggregate
No limit (good faith)	Prepaid interest; property insurance premiums; escrow deposits; services the consumer shopped for and chose a provider not on the list; services not required by the Bank	None if based on best information reasonably available

CAUTION: Tolerance violations must be cured by refunding the excess to the consumer no later than 60 calendar days after consummation, accompanied by a corrected CD. 12 CFR 1026.19(f)(2)(v).

7.7 Appraisal and Valuation

Objective: Obtain a credible, independent valuation and meet appraisal-delivery rules.

Step	Action	Owner	Output / Record
7.7.1	Engage a state-certified or licensed appraiser from the approved panel using the rotation or AMC process. Production staff (MLOs, Processors) may not select or influence the appraiser.	Collateral Desk	Engagement letter
7.7.2	Determine whether the transaction qualifies for an investor-permitted appraisal waiver, hybrid, or desktop valuation. Document the eligibility basis.	Collateral Desk	Valuation method record
7.7.3	For HPMLs, apply 12 CFR 1026.35(c): interior inspection by a certified/licensed appraiser; a second appraisal at no cost to the consumer for certain property flips; and delivery of a copy at least 3 business days before consummation.	Collateral Desk	HPML appraisal checklist
7.7.4	Route the completed appraisal to Underwriting for review of condition, comparables, and value support. Initiate a Reconsideration of Value (ROV) when the consumer presents credible new information or concerns about bias.	Underwriter	Appraisal review; ROV log

Step	Action	Owner	Output / Record
7.7.5	Deliver a copy of each appraisal and written valuation to the applicant promptly upon completion or 3 business days before consummation, whichever is earlier (unless the applicant waived the timing requirement). 12 CFR 1002.14(a)(1).	Collateral Desk	Appraisal delivery log

WARNING: Appraisal independence: No person may coerce, influence, or encourage an appraiser to misstate value, and no one with an interest in the transaction may communicate a target value. Report suspected violations to Compliance immediately. 12 CFR 1026.42.

7.8 Flood Hazard Determination and Insurance

Step	Action	Owner	Output / Record
7.8.1	Obtain the SFHDF for every loan secured by improved real property.	Processor	SFHDF
7.8.2	If any building is in a Special Flood Hazard Area, deliver the Notice of Special Flood Hazards and Availability of Federal Disaster Relief Assistance within a reasonable time before closing (Bank standard: at least 10 calendar days), and obtain the borrower's signed acknowledgment.	Processor	Signed flood notice
7.8.3	Obtain evidence of flood insurance in an amount at least equal to the lesser of the outstanding principal balance, the maximum available under the NFIP, or the insurable value of the structure. Establish escrow for flood premiums as required.	Processor / Closer	Flood policy declaration

7.9 Adverse Action, Counteroffers, and Incomplete Applications

Step	Action	Owner	Output / Record
7.9.1	When an application is declined, provide a written adverse action notice within 30 days of receiving a completed application. Include the ECOA notice, specific principal reasons (up to four), and FCRA disclosures including the credit score and key factors when a score was used.	Processor / UW	AA notice
7.9.2	For counteroffers, notify the applicant within 30 days. If the applicant does not accept or use the counteroffer within 90 days, send an adverse action notice.	Processor	Counteroffer letter
7.9.3	For incomplete applications, send either an adverse action notice or a notice of incompleteness specifying the missing information and a reasonable deadline. If the deadline passes, send an adverse action notice.	Processor	Incompleteness notice
7.9.4	When the applicant withdraws, document the withdrawal date and method. No adverse action notice is required for a withdrawal before a decision.	Processor	Withdrawal record

Step	Action	Owner	Output / Record
7.9.5	Route all declined and withdrawn files for second review per the Fair Lending Monitoring procedure.	Mgr. / Compliance	Second-review log

7.10 Closing Disclosure and Loan Closing

Objective: Deliver an accurate Closing Disclosure on time and close the loan in conformity with the approval.

Step	Action	Owner	Output / Record
7.10.1	Upon CTC, prepare the Closing Disclosure. Reconcile every fee to the LE and run the tolerance test. Coordinate seller-side figures with the settlement agent.	Closer	Draft CD; tolerance report
7.10.2	Ensure the consumer receives the CD no later than 3 specific business days before consummation. If sent by mail or e-mail without confirmed receipt, apply the mailbox rule.	Closer	CD; receipt date
7.10.3	Issue a corrected CD with a new 3-business-day waiting period if, before consummation: (a) the APR becomes inaccurate (beyond 1/8 of a percentage point for regular, 1/4 for irregular transactions); (b) the loan product changes; or (c) a prepayment penalty is added.	Closer	Corrected CD
7.10.4	For all other changes before consummation, provide a corrected CD at or before consummation.	Closer	Corrected CD
7.10.5	Prepare closing documents conforming to the approval and CD. Verify the MLO name and NMLS ID on the note and security instrument.	Closer	Closing package
7.10.6	Confirm with the settlement agent: final title, insurance, payoffs, wiring instructions (verified by call-back to a known number), and identity of signers.	Closer	Pre-funding checklist
7.10.7	For non-purchase transactions secured by the consumer's principal dwelling (including refinances; for a same-creditor refinance, to the extent of any new advance), provide two copies of the Notice of Right to Cancel to each consumer with an ownership interest. Do not disburse until the rescission period (midnight of the third specific business day after the latest of consummation, CD delivery, or Notice delivery) has expired.	Closer	Signed NRTC; disbursement date
7.10.8	Authorize funding after all prior-to-funding conditions are cleared.	Closer	Funding authorization

WARNING: Wire fraud: Never accept changed wiring instructions by e-mail. Verify all wiring instructions by telephone using a number from an independent, previously verified source. Report suspected business-email-compromise attempts to the BSA/AML Officer immediately.

NOTE: Post-consummation corrections: If an event in connection with settlement changes an amount actually paid by the consumer, deliver a corrected CD within 30 calendar days of learning of the change. Non-numeric clerical errors must be corrected within 60 calendar days after consummation. 12 CFR 1026.19(f)(2)(iii)–(iv).

7.11 Post-Closing, HMDA, and Loan Delivery

Step	Action	Owner	Output / Record
7.11.1	Review the executed closing package for signatures, dates, completeness, and conformity to the CD and approval.	Post-Closing	Post-closing checklist
7.11.2	Track and obtain trailing documents (recorded mortgage, final title policy, MI certificate) within investor timeframes.	Post-Closing	Trailing doc tracker
7.11.3	Deliver the loan to the investor or board to portfolio servicing. Send the servicing transfer notice (if applicable).	Post-Closing	Delivery confirmation
7.11.4	Validate HMDA data fields against source documents and record the loan on the LAR within 30 calendar days after the end of the calendar quarter in which final action was taken.	QC	LAR entry; validation log
7.11.5	Select the loan for QC review in accordance with Section 8 sampling criteria.	QC	QC selection record

8. Quality Control and Monitoring

Quality control (QC) verifies that loans are originated in accordance with this SOP, the Credit Policy, investor requirements, and law. QC is independent of production and reports to the Chief Credit Officer. Results, trends, and corrective-action status are reported monthly to the Mortgage Operations Manager and quarterly to the Credit Risk Committee.

8.1 Sampling

Review Type	Sample	Timing
Pre-funding QC	Risk-based selection, minimum 10% of monthly closings; 100% of loans with policy exceptions, non-arm's-length transactions, or fraud-tool alerts	Before funding
Post-closing QC (random)	10% statistical random sample of closed loans	Selected within 30 days and completed within 90 days of closing
Post-closing QC (targeted)	New MLOs (first 6 months), new third-party providers, early-payment defaults, high-risk programs	Monthly
TRID compliance review	5% sample focused on timing, tolerances, and CD accuracy	Monthly
HMDA data integrity	Statistical sample of LAR entries validated to source	Quarterly, before LAR finalization

8.2 Review Activities

- Re-verify income, employment, and assets with independent sources; obtain a new credit report where required.
- Re-underwrite the loan against the guidelines in effect at the time of the decision.
- Review appraisal quality through desk review or automated valuation comparison.
- Test disclosure timing, tolerance cures, and HMDA field accuracy.

8.3 Finding Severity and Response

Severity	Definition	Required Response
Critical	Loan is ineligible, materially misrepresented, or a regulatory violation exists (e.g., uncured tolerance, missed CD timing)	Escalate to CCO and Compliance within 1 business day; consumer remediation; investor notification if required
Significant	Defect affects eligibility or risk but can be remedied	Root-cause analysis and corrective action within 30 days
Moderate / Low	Documentation or procedural deficiency without eligibility impact	Feedback to staff; trend tracking

9. Exceptions and Escalation

An exception is any deviation from this SOP, Credit Policy, or investor guidelines. Exceptions must be approved before the action occurs and documented in the LOS with the approver's name, authority level, and rationale.

Situation	First Escalation	Second Escalation	Timeframe
Disclosure deadline at risk	Mortgage Operations Manager	Compliance Officer	Same business day
Tolerance violation identified	Closer → Compliance	Director, Mortgage Ops	Before closing; cure ≤ 60 days post-consummation
Credit policy exception	Senior Underwriter	Chief Credit Officer	Before CTC
Suspected fraud or identity theft	BSA/AML Officer	Chief Risk Officer	Immediately; do not alert the applicant
Appraiser coercion or valuation bias concern	Collateral Desk Manager	Compliance Officer	Within 1 business day
Fair-lending or UDAAP complaint	Compliance Officer	Chief Compliance Officer	Within 1 business day
OFAC potential match	BSA/AML Officer	—	Immediately; halt processing

WARNING: If fraud or suspicious activity is suspected, do not disclose the suspicion or any related SAR consideration to the applicant or any third party. 31 CFR 1020.320(e).

10. Training and Competency

Audience	Required Training	Frequency
All mortgage staff	This SOP; Fair Lending; UDAAP; BSA/AML & CIP; Privacy & Information Security	At hire and annually
MLOs	NMLS federal registration and annual renewal; LO compensation & anti-steering; HMDA demographic collection	At hire; registration renewed annually
Processors & Closers	TRID timing and tolerances; changed circumstances; flood compliance; wire-fraud prevention	At hire and annually
Underwriters	ATR/QM; HPML/HOEPA; appraisal review and ROV; investor guideline updates	At hire, annually, and upon guide changes
QC Analysts	Investor QC requirements; HMDA data integrity; sampling methodology	At hire and annually

Training completion is tracked in the Bank's learning management system. Staff may not perform a role-specific task until the related training is complete.

11. Records Retention

Retain records in the LOS or the Bank's electronic document repository. Where the Bank standard exceeds the regulatory minimum, follow the Bank standard.

Record	Regulatory Minimum	Authority
Evidence of Loan Estimate compliance	3 years after consummation	1026.25(c)(1)(i)
Closing Disclosure and related documents	5 years after consummation	1026.25(c)(1)(ii)
ATR/QM compliance evidence	3 years after consummation	1026.25(c)(3)
LO compensation records	3 years after date of payment	1026.25(c)(2)
Application records, including declined/withdrawn	25 months after notice of action taken	1002.12(b)
HMDA LAR (submitted)	3 years	1003.5(a)
CIP identifying information	5 years after account closed	31 CFR 1020.220(a)(3)
Flood determination (SFHDF)	While the Bank owns the loan	Flood regulations
Bank standard — complete loan file	Life of loan + 7 years	FNB Records Policy

Appendix A. Disclosure Timing Worked Example

The example below applies the general and specific business-day definitions to a sample 2026 calendar. Assumptions: the Bank is open Monday–Friday; October 12, 2026 (Columbus Day) is a federal holiday; disclosures are mailed with no confirmed earlier receipt.

Event	Rule	Date
Application (6th element received)	—	Mon, Oct 5, 2026
Loan Estimate must be mailed by	3rd general business day after application	Thu, Oct 8, 2026
LE deemed received (mailbox rule)	3rd specific business day after mailing (skips Sun Oct 11 and holiday Oct 12)	Tue, Oct 13, 2026
Earliest consummation (7-day wait)	7th specific business day after LE mailed	Sat, Oct 17, 2026
Scheduled consummation	—	Fri, Oct 30, 2026
CD must be received by	3 specific business days before consummation	Tue, Oct 27, 2026
CD must be mailed by (if mailbox rule relied on)	3 specific business days before required receipt	Fri, Oct 23, 2026

NOTE: The Bank's best practice is to obtain confirmed electronic receipt of the CD at least 5 specific business days before consummation, preserving time for a re-disclosure without moving the closing date.

Appendix B. Changed Circumstance Quick Reference

Triggering Event	Revised LE Permitted?	Example
Extraordinary event beyond control of any party	Yes — affected charges only	Natural disaster damages the property
Information relied upon was inaccurate or changed	Yes — affected charges only	Appraised value lower than estimate, changing LTV and MI
New information specific to the consumer or transaction	Yes — affected charges only	A previously unknown lien requires additional title work
Change in eligibility (consumer-specific)	Yes	Income cannot be documented as stated; program change
Consumer-requested revision	Yes	Borrower changes loan amount or term
Interest rate lock after initial LE	Yes — rate-dependent charges	Rate lock changes points and lender credits
Consumer intent to proceed > 10 business days after LE	Yes — may issue new LE	Consumer returns after three weeks
Bank error or lack of diligence	No	Processor omitted a required fee

Appendix C. Pre-Underwriting Submission Checklist

✓	Item	Ref.
☐	Signed URLA (Form 1003) with MLO name and NMLS ID	7.2
☐	Application date recorded; HMDA demographic addendum complete	7.2
☐	CIP verification and OFAC screening documented	7.2
☐	ESIGN consent (if electronic delivery)	7.2
☐	Loan Estimate and companion disclosures delivered within 3 business days	7.3
☐	Intent to proceed documented before fees collected	7.3
☐	Credit report reviewed; explanations obtained	7.4
☐	AUS findings current and match file data	7.4
☐	Income and employment verified	7.4
☐	Assets verified and large deposits sourced	7.4
☐	SFHDF obtained	7.4 / 7.8
☐	Title commitment and payoffs ordered	7.4
☐	Appraisal ordered through Collateral Desk	7.7
☐	Changed circumstance log reviewed (if any)	7.6

Appendix D. Pre-Closing and Funding Checklist

✓	Item	Ref.
☐	Clear to Close issued; all prior-to-document conditions cleared	7.5
☐	Appraisal copy delivered to applicant (or timing waiver on file)	7.7
☐	Flood notice signed ≥ 10 days before closing; flood insurance in place (if SFHA)	7.8
☐	Tolerance test passed or cure calculated	7.6.1
☐	CD received ≥ 3 specific business days before consummation	7.10
☐	Re-disclosure triggers (APR, product, prepayment penalty) reviewed	7.10
☐	Closing documents match approval and CD; NMLS IDs on note and security instrument	7.10
☐	Wiring instructions verified by independent call-back	7.10
☐	Notice of Right to Cancel provided (if rescindable)	7.10
☐	Verbal VOE completed within investor window	7.4
☐	Prior-to-funding conditions cleared; funding authorized	7.10

Appendix E. 2026 Regulatory Thresholds

Values below are effective January 1, 2026, unless noted. Compliance updates this appendix annually.

E.1 Qualified Mortgage Points-and-Fees Limits (12 CFR 1026.43(e)(3))

Total Loan Amount	Maximum Points and Fees
\$137,958 or more	3% of the total loan amount
\$82,775 to less than \$137,958	\$4,139
\$27,592 to less than \$82,775	5% of the total loan amount
\$17,245 to less than \$27,592	\$1,380
Less than \$17,245	8% of the total loan amount

E.2 Other Thresholds

Threshold	2026 Value	Source
HOEPA points-and-fees test	5% of total loan amount for loans $\geq$ \$27,592; lesser of 8% or \$1,380 for loans $<$ \$27,592	Reg. Z annual adjustment
HMDA asset-size exemption (banks)	\$59 million (assets as of Dec 31, 2025)	Reg. C, effective Jan 7, 2026
Baseline conforming loan limit (1-unit)	\$832,750 (higher in designated high-cost areas)	FHFA
HPML APR thresholds over APOR	1.5 pts (first-lien, conforming); 2.5 pts (first-lien jumbo); 3.5 pts (subordinate)	12 CFR 1026.35(a)
General QM price-based limit	APR may not exceed APOR by 2.25 pts or more for most first-lien loans (higher limits for smaller loans and subordinate liens, adjusted annually)	12 CFR 1026.43(e)(2)(vi)

Appendix F. Regulatory and Investor Watch List

The following developments were pending or in limited rollout at the effective date of this revision. They do not change the procedures in Section 7 until Compliance and Credit Administration issue implementation guidance.

Development	Status (as of Oct 2026)	Potential SOP Impact
Alternative credit score models — VantageScore 4.0 and FICO Score 10T accepted by Fannie Mae, Freddie Mac, and FHA (announced April 22, 2026)	VantageScore 4.0 in limited rollout for approved lenders; Classic FICO remains required for non-participating lenders; FICO 10T implementation date pending	Section 7.4 credit and AUS steps; adverse action score disclosures
Executive Order “Promoting Access to Mortgage Credit” (March 2026)	Directs agencies to consider tailoring ATR/QM and TRID for smaller banks, a materiality-based TRID timing standard, and expanded alternative valuations and e-closings	Sections 7.3, 7.5, 7.6, 7.7, 7.10 — pending future rulemaking; no immediate change
Investor guidance on hybrid/desktop appraisals and appraisal waivers	Evolving investor eligibility criteria	Section 7.7 valuation method selection

CAUTION: Do not implement any watch-list item based on press coverage. Wait for the applicable final rule, investor Selling Guide update, or Bank implementation memo.